

Surfing on wave of premiumisation, appliances industry expects 15 pc growth in 2025

By Kumar Rahul

New Delhi, Dec 31 (PTI) The appliances and consumer electronics industry expects 10-15 per cent growth in 2025 on the back of premiumisation trend, which is driven by rising incomes, changing preferences towards energy-efficient, and connected products with innovative features such as AI and increasing desire for global quality products.

The year 2024 was transformative for the industry, in which it bounced back despite challenges such as rising raw material costs, price hikes, and supply chain disruptions, and displayed resilience by embracing technology and innovation.

The industry, which contributes 0.6 per cent of the GDP, is witnessing a transformative shift towards premiumisation, increasing the average sale price (ASP), driven by rising income, and young demography with changing preferences.

Besides, factors such as a growing economy, urbanisation, real estate growth, and increasing penetration into smaller markets like tier-III cities and further, will also help the industry grow.

"Looking ahead, we expect the appliances industry to grow approximately 12-15 per cent in 2025," Kamal Nandi, Business Head and EVP at Appliances Business of Godrej Enterprises Group, said.

The growth of the consumer durables industry will be driven by the adoption of products with higher energy efficiency, a preference for premium and connected appliances and will be fuelled by policies like PLI on the supply side, said Panasonic Life Solutions India Chairman Manish Sharma.

"In 2025, new-age technologies such as Artificial Intelligence (AI)/Internet Of Things (IoT), cloud computing, robotics, and automation to name a few, will continue to be leveraged to democratise technological transformation and deliver smart ecosystem solutions to the consumers," he said.

Besides, the industry is also emphasising on enhancing localisation, research and innovation, and offering forward-looking, sustainable solutions, propelling India towards becoming a global hub for manufacturing, said Consumer Electronics and Appliances Manufacturers Association (CEAMA) President Sunil Vachani.

"Initiatives such as the production-linked incentive (PLI) schemes and Make in India have been instrumental in enhancing domestic manufacturing and attracting global investments," he said.

The Consumer Electronics and Appliances (ACE) industry expects to continue having a 12-14 per cent value-based growth in 2024, reflecting a robust consumer demand for energy-efficient and innovative products, Vachani said.

In 2024, room air conditioner (RAC) segment saw about 30 per cent growth driven by rising temperatures, evolving consumer preferences, and increased market penetration in tier-1 and tier-2 cities, he added.

For makers such as Voltas, 2024 was a "landmark year" in which the Tata Group firm achieved a record-breaking air conditioner sales of over two million units.

"Looking ahead to 2025, we anticipate significant growth," said Voltas Managing Director and CEO Pradeep Bakshi, adding, "trends like AI integration, IoT-enabled appliances, and feature-led innovations shaping consumer preferences, we are focused on strengthening our R&D capabilities and expanding our product portfolio to meet these trends."

Haier Appliances India President N S Satish also expects a double-digit growth helped by premiumisation, which has increased the average selling price (ASP) of the industry in segments such as AC, washing machine, refrigerator, and LED TV.

"2025 should be a good year. The fundamentals are clear, the economy is doing very well, customers are... well aware of the technology. So obviously the brands that can offer a differentiated product and proper after-sales service and communication will do very well next year also," he said.

BSH Home Appliances MD & CEO Saif Khan said the growing demand for premium appliances such as high-capacity washing machines, advanced dishwashers, built-in cooking ranges, and premium refrigerators is driving positive sales momentum in the consumer durables sector, as consumers seek superior quality, innovation, and enhanced lifestyle experiences.

According to leading contract manufacturer Dixon Technologies (India), 2024 has been a "transformative" year for the electronics industry and for the country as a global manufacturing hub.

"The industry achieved remarkable milestones, with India's electronics manufacturing sector surpassing a value of USD 120 billion and exports witnessing a robust 40 per cent growth year-on-year," said its Executive Chairman Sunil Vachani.

These achievements underscore India's growing reputation as a trusted and competitive destination for high-quality manufacturing, said Vachani, who is also CEAMA President.

"The journey ahead is promising, and together, we aim to scale greater heights while strengthening India's position in the global supply chain," he said.

According to Manish Sharma, India's consumer electronics sector is also expected to deliver remarkable growth, with a CAGR of 11 per cent reaching USD 35.73 billion (Rs 3 lakh crore) by 2029 and creating five lakh jobs.

"It is estimated that Indian RAC manufacturing has the potential to expand to Rs 100,000 crore by 2029, with exponential opportunities for allied industries wherein the contribution of exports is expected to be 35 per cent of the total manufacturing," he said.